impose licensing) will help authorities track how much value-addition is being done on products in this segment," says Sabnavis. The other motive is to prevent the dumping of Chinese goods into India. Under the Aatmanirbhar Bharat scheme, we are aiming to produce everything on our own. However, the flip side of this, according to him, is that the prices of IT hardware were likely to go up.

Raghuram Rajan, the former governor of the Reserve Bank of India, had been a strong critic of the government's PLI scheme. Citing the example of mobile phones, he argued that the PLI subsidy claimed by many companies is "paid only for finishing the phone in India, not on how much value is added by manufacturing in India". What India has done essentially is to assemble mobile phones here, but the components that go into those phones are mostly imported. However, others like Rajiv Kumar, former vice chairman of the NITI Aayog, have countered this argument, saying what was first needed was not a big focus on value-addition, but a need for scale and integration with global trade flows. Once that is achieved, backward integration into component production follows, he said.

CREEPING TARIFFS

India has been increasing import tariffs over the past several years. According to news reports, the WTO, in its review of India's trade policy for 2021, pointed out that since the previous review in 2015, India's simple average tariff had increased from 13 per cent to 15.4 per cent. The share of goods with tariffs below 10 per cent declined to 67.8 per cent of the overall trade basket in 2020-21, from 79.1 per cent in 2015. By comparison, the share of goods with tariffs between 10 per cent and 30 per cent increased to 22.1 per cent of the overall trade basket in 2020-21, from 12.1 in 2015. Reports also say that India has done about 3,200 tariff increases since 2014. In a paper published in October 2020, economists Shoumitro Chatterjee and Arvind Panagariya said, "Over the last few years, India has turned inward. Policy is moving closer to a development strategy led by import substitution in a deglobalising world. The import substitution has been sustained by average tariff increases of close to 5 percentage points since 2017."

The Centre has justified its import licensing move by citing the need to boost domestic manufacturing. "It is the government's objective to ensure trusted hardware and systems, reduce import dependence and increase domestic manufacturing of this category of products," Union minister of state for electronics and information technology Rajeev Chandrasekhar said on microblogging site X. "This is not at all about 'licence raj'; it is about regulating imports to ensure...India's tech ecosystem uses trusted and verified systems only that are imported and/or domestically manufactured trusted systems/products."

Media reports say that the Manufacturers' Association for Information Technology (MAIT), which includes top laptop, personal computer and server makers such as Dell, HP, Apple, Lenovo and ASUS, has sought an extension of nine months to a year for the implementation of the new import restriction rules. HP Inc. has a 34 per cent share in India's PC market, followed by Lenovo (16 per cent) and Dell Technologies (14 per cent).

Nitin Kunkolienker, president emeritus of MAIT, and director, Electronics Product Foundation, has said that if the government needs to make India a success in the PLI scheme, it will need to promote manufacturing in a better fashion. "One of the greatest challenges in India is finding lean manufacturing on the logistics and supply chain side, it's unreliable. The ports are not so friendly as of now. Over and above, if there's one more layer added of getting an import licence, then we are only making it more unfriendly," he said. Moreover, many models do not have the economies of scale for manufacturing in India. Getting a licence can mean bureaucratic delays and the cost of dealing with such transactions is high, he said.

TOP MANUFACTURERS OF IT HARDWARE HAVE SOUGHT AN EXTENSION OF NINE MONTHS TO A YEAR FOR THE IMPLEMENTATION OF THE NEW IMPORT RESTRICTION RULES

The Centre's move on IT hardware imports certainly caught the industry by surprise. What it needs to ensure is that the manufacturers are given enough time to transition to local manufacturing, without expecting them to make even high-end products here in the absence of the right ecosystem to do so. Most importantly, it should make sure that the customer gets the best deal out of the whole exercise, which means superior products at reasonable prices. ■